

TAXATION ASPECTS OF BUSINESS

Income Tax Act 1961

1. Income: Any returns on investment, property or services, etc.

Section 2(24) – Definition of Income

Section 2(24) defines "income" in an inclusive manner, meaning it lists items that are considered income but is not exhaustive. Income includes the following:

- Profits and gains from business or profession.
- Dividend income.
- Voluntary contributions received by charitable or religious trusts.
- Value of any perquisite or profit in lieu of salary.
- Capital gains.
- Any winnings from lotteries, races, card games, or other gambling activities.
- Any sum received under a life insurance policy, not exempted under Section 10(10D).
- Deemed income (e.g., gifts received under certain circumstances).

This section aims to cover a wide range of income sources to ensure they are subject to taxation unless specifically exempted under other provisions.

2. STEPS to CALCULATE IT

- I. Receipt is
 - a. Income Receipt: arise from the core business operations or regular activities of an individual, organization, or government, OR
 - b. Capital Receipt: not part of the regular operations or income-generating activities

Gifts are taxable if: They exceed the prescribed threshold (₹50,000)

Exemptions:

- Gifts from **relatives** are fully exempt, irrespective of their value.
 - Gifts received by an individual on their **wedding day** are exempt
 - Gifts from local authorities, approved charitable trusts, or educational institutions are exempt
- II. Find which Capital Receipts are Tax liable
 - III. Find which Income Receipts are Tax Exempted

Agricultural Income (Section 10(1)):

Income derived from agricultural activities in India is exempt.

IV. Allocate Income under 5 heads

☐ **Income from Salary:** 15-17

- Include basic salary, allowances, bonuses, and perquisites

☐ **Income from House Property:** 22-27

- Calculate net annual value (rent received minus municipal taxes) and deduct 30% as a standard deduction plus interest on home loan (if applicable).

☐ **Income from Profits and Gains of Business or Profession:** 28-44

- Include income from business or professional activities after deducting allowable expenses.

☐ **Income from Capital Gains:** 45-55

- Gains from the sale of capital assets (short-term or long-term).

☐ **Income from Other Sources:** 56-59

- Include interest, dividends, gifts (taxable under Section 56(2)(x)), etc.

V. Deductions are to be made from every head

Standard Deduction (Section 16(i)):

- A flat deduction of **₹50,000** is allowed to all salaried employees, irrespective of their actual expenses.

VI. GROSS TOTAL INCOME

Addition of all net incomes under above heads

VII. Claim Deductions under Chapter VI-A

Deduct eligible amounts under various sections, such as:

- Section 80C: Investments in PPF, ELSS, LIC premiums, etc. (limit: ₹1,50,000).
- Section 80D: Medical insurance premiums.
- Section 80E: Interest on education loans.
- Section 80G: Donations to charitable institutions.
- Section 80TTA/80TTB: Savings account interest.

Available Deductions/Exemptions in the New Tax Regime

- Standard Deduction: ₹50,000 is allowed (from FY 2023-24).
- Employer's Contribution to NPS (Section 80CCD(2)): Deduction for employer contributions (up to 10% of salary) remains available.
- Agri-related Exemptions: Agricultural income remains exempt under Section 10(1).
- Exemptions for Retirees: Exemptions like gratuity, leave encashment, and VRS payouts continue to apply.

Subtract these deductions to calculate the **Total Taxable Income**.

VIII. Apply the tax rates based on the applicable tax regime (Old or New):

A. **Old Regime:** Includes exemptions and deductions.

B. **New Regime:** Lower tax rates but fewer exemptions/deductions.

Income Tax Slabs for FY 2023-24 (Old Regime):

Income Range	Tax Rate
Up to ₹2,50,000	Nil
₹2,50,001 - ₹5,00,000	5%
₹5,00,001 - ₹10,00,000	20%
Above ₹10,00,000	30%

NEW REGIME: [Section 115 BAC](#)

Income Slab (₹)	Tax Rate
Up to ₹3,00,000	Nil
₹3,00,001 to ₹6,00,000	5%
₹6,00,001 to ₹9,00,000	10%
₹9,00,001 to ₹12,00,000	15%

₹12,00,001 to ₹15,00,000	20%
Above ₹15,00,000	30%

- Higher exemption limits are available for senior citizens and super senior citizens.

3. Ways of paying TAX:

I. Advance Tax (Self-Assessment Tax)

- What It Is: Advance Tax refers to the tax that individuals and businesses are required to pay in installments during the financial year, rather than in a lump sum at the end of the year.
- When to Pay:
- Due Dates for Advance Tax:
 - 15th June: 15% of the estimated tax.
 - 15th September: 45% of the estimated tax.
 - 15th December: 75% of the estimated tax.
 - 15th March: 100% of the estimated tax.
- Who Needs to Pay:
- If a taxpayer's tax liability exceeds ₹10,000 in a financial year (after considering TDS and other credits), they must pay advance tax.

II. Tax Deducted at Source (TDS)

- What It Is: TDS is the tax that is deducted by a person or entity (deductor) while making payments like salaries, interest, professional fees, rent, etc. It is deducted before the payment is made to the recipient.

III. Self-Assessment Tax

- What It Is: After the taxpayer files their annual income tax return, any additional tax payable (if not covered by advance tax or TDS) must be paid as self-assessment tax

4. CONCEALED INCOME Section 115BBE

- **Section 68:** Focuses on **unexplained cash credits** (e.g., loans or deposits).
- **Section 69:** Focuses on **unexplained investments** (e.g., property or shares).

- **Section 69A:** Targets **unexplained assets** (e.g., money, bullion, jewelry).
- **Section 69B:** Deals with **excess investments** (where investments exceed the fair market value).
- **Section 69C:** Focuses on **unexplained expenditure** (e.g., payments made without an identifiable source of funds).
- 60% rate of Income Tax

5. SURCHARGE and EDUCATIONAL CESS

Income Range	Surcharge Rate
Up to ₹50 lakhs	Nil
₹50 lakh to ₹1 crore	10%
₹1 crore to ₹2 crore	15%
₹2 crore to ₹5 crore	25%
Above ₹5 crore	37%

Extra tax levied on high-income individuals, firms, and companies when their income exceeds a certain limit. Applied on the calculated income tax (not on total income).

Health and Education Cess:

- 4% of the total tax liability (including surcharge).

6. PERQUISITES

- A **perquisite** (often referred to as a "perk") is any benefit or advantage provided to an employee by their employer in addition to their salary or wages. These are non-cash benefits or facilities.
- In the context of **Income Tax** in India, perquisites are taxed as part of the **income** of the employee, and the value of these benefits is added to the total taxable income.

7. Section 80G

- Offers **tax deductions** for donations made to approved charitable organizations, relief funds, and other qualifying entities.
- **100% Deduction:** For donations to specific funds (e.g., PMNRF, National Defence Fund).
- **50% Deduction:** For donations to other eligible charitable organizations.
- **Limitations:** The deduction is subject to a ceiling of **10% of the taxpayer's total income**.

If your total income is 10 lakh, the maximum donation amount eligible for deduction is 1 lakh (10% of 10 lakh).
Even if you donate 2 lakh, your deduction will still be limited to 1 lakh.

8. CLUBBING OF INCOME

section 64

Concept of Mutuality

- Income cannot arise from transactions within the same entity (contributor & beneficiary identical).
- Example: Cooperative society income from members (generally exempt).

Clubbing of Income refers to the provisions under the **Income Tax Act, 1961**, which require certain incomes of a taxpayer to be added to the income of another individual for the purpose of taxation.

Scenario Clubbed With Whose Income

- **Minor child's income** - The parent whose total income is higher (both for married and unmarried children).
- **Spouse's income from transferred assets** - The transferor's (donor's) income.
- **Income from assets transferred to a son-in-law/daughter-in-law** - The transferor's income.
- **Income of a minor child from a specified source (e.g., manual labor)-** Not clubbed.
- **Income of a minor child from a scholarship or similar source** - Not clubbed.

9. SECTION 6

Section 6 of the Income Tax Act, 1961 defines the residential status of an individual, which determines their tax liability in India. The residential status decides whether an individual's global income is taxable in India or just their income from Indian sources.

Types of Residential Statuses under Section 6:

- **Resident:**
 - A person is considered a Resident if they meet the following conditions:
 - Stay in India for 182 days or more during the previous year, or
 - Stay in India for 60 days or more during the previous year, and 365 days or more in the preceding four years.
 - Resident individuals are liable to pay tax on their global income in India.
 - **EXAMPLE**
 - Previous year: April 1, 2023, to March 31, 2024
 - Days stayed in India: 200 days in the previous year
 - Days stayed in India in the last 4 years: 400 days
 - Since the individual stayed 200 days in the previous year (which is more than 182 days), they are classified as a Resident.
- **Non-Resident (NR):**
 - An individual who does not satisfy the criteria for being a Resident is considered a Non-Resident.
 - Non-Residents are only taxed on income earned or accrued in India.
 - **EXAMPLE**
 - **Previous year:** April 1, 2023, to March 31, 2024
 - **Days stayed in India:** 50 days in the previous year
 - **Days stayed in India in the last 4 years:** 200 days

- Resident but Not Ordinarily Resident (RNOR):
 - A person is classified as Resident but Not Ordinarily Resident (RNOR) if they satisfy the conditions for being a Resident but do not fulfill the criteria for being Ordinarily Resident.
 - RNOR individuals are taxed on their Indian income and income from a business controlled from India. However, their foreign income is generally not taxable.
 - EXAMPLE
 - **Previous year:** April 1, 2023, to March 31, 2024
 - **Days stayed in India in the previous year:** 300 days
 - **Total days stayed in India in the last 7 years:** 600 days
 - **Residency in the last 10 years:** 1 year
- Ordinarily Resident:
 - The person must have been a Resident in India for at least 2 out of 10 previous years immediately preceding the relevant previous year, and
 - Must have stayed in India for a total of 730 days or more during the 7 preceding years.

10. TYPES OF BANK ACCOUNTS

Feature	NRE (Non-Resident External)	NRO (Non-Resident Ordinary)	FCNR (Foreign Currency Non-Resident)	RFC (Resident Foreign Currency)	EEFC (Exchange Earners' Foreign Currency)
Purpose	To manage income earned outside India	To manage income earned in India (e.g., rent, dividends)	To deposit foreign currency earnings	To manage foreign currency income for residents (usually for foreign earnings)	To hold foreign currency earnings of exporters and other foreign exchange earners

Currency	Indian Rupees (INR)	Indian Rupees (INR)	Foreign currency (USD, GBP, EUR, etc.)	Foreign currency (USD, GBP, EUR, etc.)	Foreign currency (USD, GBP, EUR, etc.)
Who Can Open	NRIs and PIOs (Persons of Indian Origin)	NRIs and PIOs	NRIs and PIOs	Resident Indians with foreign currency income	Resident Indians (exporters and foreign exchange earners)
Deposits	Only foreign income can be deposited	Both Indian and foreign income can be deposited	Only foreign currency can be deposited	Only foreign currency income can be deposited	Only foreign currency earnings can be deposited
Repatriability	Full repatriability of principal and interest	Repatriation allowed with limits and RBI approval	Full repatriability in foreign currency	No repatriation (for resident individuals)	No repatriation (for resident individuals)
Taxation	Interest is tax-free in India	Interest is taxable in India	Interest is tax-free in India	Interest is taxable in India (unless exempt for foreign earnings)	Interest is taxable in India, but no TDS on foreign income
Withdrawals	Only in Indian Rupees	In Indian Rupees, but can be converted for foreign use	Only in the foreign currency of the account	Can withdraw foreign currency in the form of cash or drafts	Can withdraw in foreign currency (as cash or remittance)

Interest Rates	Generally higher than domestic rates	Interest rates are lower than NRE accounts	Interest rates depend on the foreign currency	Varies based on market conditions	Varies based on market conditions
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11. SECTION 15

Section 15 essentially brings **all income** received by an individual as part of employment under the head "Salaries," making it taxable. This includes regular salary, allowances, bonuses, perquisites, and other forms of income connected to employment.

12. SECTION 16

Section 16 provides three main deductions that can be claimed by individuals earning income from salaries:

I. Standard Deduction (Section 16(1)):

- A **standard deduction** of **₹50,000** (from the financial year 2018-19 onwards) is available to all salaried employees and pensioners.
- This deduction is applicable on the **gross salary** before calculating any other deductions.

Example: If the total salary income is ₹7,00,000, the standard deduction would be ₹50,000, so the taxable salary becomes ₹6,50,000.

II. Entertainment Allowance (Section 16(2))

III. Professional Tax (Section 16(3))

13. SECTION 17

Section 17 specifically provides the definition of "Salary" and includes several key components:

Salary: The basic salary received by an employee for the services rendered is considered as **salary** under Section 17.

Perquisites (Section 17(2)):

- The term **perquisite** refers to any **non-cash benefits** or **fringe benefits** provided by the employer to the employee. These benefits are considered as part of the employee's salary and are taxable.

Types of Perquisites include:

- **Rent-free accommodation or house rent allowance (HRA).**
- **Free or concessional loans** given by the employer.
- **Car or vehicle provided by the employer** for personal use.
- **Stock options or ESOPs** (Employee Stock Option Plans) provided by the employer.
- **Medical benefits or free medical treatment** provided by the employer.

14. SECTION 10 ALLOWANCES

I. Leave Travel Allowance (LTA) – Section 10(5)

- **Exemption Criteria:**
 - LTA is given by an employer to an employee to cover travel expenses for the employee and their family while on leave.
 - It is **exempt** for travel expenses incurred on **domestic trips** (within India) for the employee and their family.
- **Conditions:**
 - LTA is exempt for two journeys in a block of four years.
 - The exemption is available only for travel expenses (i.e., transportation costs). Expenses related to stay, food, etc., are not exempt.
 - The exemption is available only for travel within India.
 - The exemption applies to **actual travel expenses** incurred by the employee and their family members.
 - If the employee does not claim the exemption for LTA, they may carry it forward for the next block of 4 years.

Example: If an employee receives LTA of ₹50,000 for a trip with their family, and they use ₹40,000 for transportation, then ₹40,000 will be exempt, while the remaining ₹10,000 will be taxed.

II. House Rent Allowance (HRA) – Section 10(13A)

- **Exemption Criteria:**
 - HRA is provided by an employer to the employee to meet the cost of renting a house.
 - HRA is **exempt** from tax to the extent of the least of the following:
 - Actual HRA received.
 - Rent paid minus 10% of salary (Basic + DA).
 - 50% of salary if living in a metro city (Mumbai, Delhi, Kolkata, Chennai) or 40% in other cities.
- **Conditions:**
 - The employee must be living in a rented house.
 - The employee must be paying rent to a landlord. If rent is not paid, no exemption is allowed.
 - The exemption is calculated on a **monthly basis**, and it can be claimed on an annual basis.

Example: If an employee receives ₹40,000 as HRA, pays ₹30,000 as rent, and their basic salary is ₹60,000, the exemption would be calculated as:

- Actual HRA received = ₹40,000
- Rent paid – 10% of salary = ₹30,000 - ₹6,000 = ₹24,000
- 50% of salary = ₹30,000 The exemption will be ₹24,000 (the least of the three values).

III. Conveyance Allowance – Section 10(14)

- **Exemption Criteria:**
 - Conveyance allowance is provided by the employer to the employee to meet the commuting costs from home to office and vice versa.
- **Conditions:**
 - If the employee uses the conveyance allowance for official purposes, it is exempt from tax.
 - There is no limit to the exemption for **actual expenditure** incurred on conveyance.
 - If the employee is provided a **company car** and the car is used for official and personal purposes, the value of the personal use is taxable.

Example: If an employee receives ₹10,000 as conveyance allowance and spends ₹8,000 on commuting, the ₹8,000 will be exempt from tax, while the remaining ₹2,000 will be taxable.

IV. Traveling Allowance – Section 10(14)

- **Exemption Criteria:**
 - Traveling allowance is provided to meet the expenses incurred for **official travel** or work-related travel.
- **Conditions:**
 - If the traveling allowance is used for business or work-related travel, it is **exempt** from tax.
 - The exemption is available **only for actual expenses** incurred. No exemption is available for personal travel or leisure trips.

Example: If an employee receives ₹20,000 as a traveling allowance and spends ₹15,000 on official travel, the ₹15,000 will be exempt from tax. The remaining ₹5,000 (if not used for official travel) will be taxable.

V. Work-from-Home (WFH) Allowance

- **Exemption Criteria:**
 - There is **no specific provision** for WFH allowances in Section 10, as WFH is a relatively recent trend and not explicitly defined in the Income Tax Act.
- **Conditions:**
 - If the employer provides an allowance to meet the expenses of working from home (such as internet, phone bills, office supplies), it is generally **taxable** unless it is specifically related to official requirements and reimbursed by the employer on an actual basis.

- Reimbursement for **official expenses** like **internet charges** or **office supplies** used for work can be exempt if supported by bills and receipts.

Example: If an employer provides ₹5,000 for office supplies, and the employee spends ₹4,500 on official items, the ₹4,500 may be exempt, but any amount exceeding this would be taxable.

VI. Research Allowance – Section 10(14)

- **Exemption Criteria:**

- **Research allowances** are provided to employees who are involved in research activities (such as scientists or professors).
- This allowance is **exempt** to the extent that it is used for research-related expenses.

- **Conditions:**

- The allowance must be used exclusively for **research activities**, and the employee should maintain records of such expenses.
- If the allowance is used for personal or non-research-related expenses, it will be taxable.

Example: If a professor receives ₹15,000 as research allowance and spends ₹12,000 on research activities, ₹12,000 will be exempt, while the remaining ₹3,000 (if used for personal purposes) will be taxable.

VII. Gratuity – Section 10(10)

- **Exemption Criteria:**

- Gratuity is a lump sum amount paid by the employer to the employee as a **reward for long service** or upon retirement, death, or termination of employment.

- **Exemption Limits:**

- **For Government Employees:** Gratuity is fully exempt from tax.
- **For Non-Government Employees:**
 - Exemption is available up to **₹20 lakh** for gratuity received upon retirement, resignation, or termination.
 - The amount exceeding ₹20 lakh will be subject to tax.

- **Conditions:**

- The exemption applies if the gratuity is received under the **Payment of Gratuity Act, 1972**.
- For non-government employees, if the gratuity is more than ₹20 lakh, only the excess amount is taxable.

Example:

- If a non-government employee receives ₹25 lakh as gratuity on retirement, the exemption will be ₹20 lakh, and ₹5 lakh will be taxable.

VIII. Leave Encashment – Section 10(10AA)

- **Exemption Criteria:**
 - Leave encashment refers to the amount paid to the employee for the accumulated leave that is not utilized during their tenure with the employer.
- **Exemption Limits:**
 - **For Government Employees:** Leave encashment is fully exempt from tax.
 - **For Non-Government Employees:**
 - Exempt up to **₹3 lakh** (as per the provisions of the Income Tax Act).
 - Any amount above ₹3 lakh is subject to tax.
- **Conditions:**
 - The exemption applies only when leave encashment is received at the time of retirement or termination of employment.
 - It is available for the **leave encashed for earned leave** and not casual leave.

Example:

- If a non-government employee receives ₹4 lakh as leave encashment, only ₹3 lakh will be exempt from tax, and the remaining ₹1 lakh will be taxable.

IX. Voluntary Retirement Scheme (VRS) – Section 10(10C)

- **Exemption Criteria:**
 - VRS is a scheme where an employee is voluntarily given an option to retire before the official retirement age, often in exchange for a lump sum payment.
- **Exemption Limits:**
 - The amount received by the employee under a **VRS** is **exempt from tax** subject to the following:
 - The amount should not exceed **₹5 lakh**.
 - The employee should have **completed 10 years of service** or be at least 40 years old at the time of retirement.
 - The exemption applies only when the employee has not received compensation under any other scheme for the same service period.
- **Conditions:**
 - The payment received under VRS is exempt up to **₹5 lakh**. Any excess amount received will be taxed.
 - The exemption is available for payments received by **employees of both government and non-government organizations**.

Example:

- If an employee receives ₹6 lakh under a VRS, ₹5 lakh will be exempt from tax, and ₹1 lakh will be taxable.

15. ESOP

Employee Stock Option Plan (ESOP) under Income Tax Act, 1961

- An **Employee Stock Option Plan (ESOP)** is a benefit provided by an employer to its employees that allows them to purchase the company's shares at a discounted rate or at a predetermined price after a certain period.
- Company has to obtain permission from shareholders to float ESOPs
- **3-year lock-in period** for **ESOPs** refers to a restriction where employees cannot sell or transfer the shares
- When the employee sells the shares purchased through ESOP, **capital gains tax** applies on the difference between the **selling price** and the **purchase price** (the exercise price).
- **Short-term Capital Gains** (STCG) apply if the shares are sold within **36 months** from the date of exercise.
- **Long-term Capital Gains** (LTCG) apply if the shares are held for more than **36 months**.
- The **tax rate** for **LTCG** is **10%** if the gains exceed ₹1 lakh, and **for STCG**, it is **15%**.

16. OTHER PERQUISITES

- a. Residential hubs

17. SECTION 22

Section 22 of the **Income Tax Act, 1961** deals with the taxation of **income from house property**.

Deductions Under Section 24:

- Taxpayer can claim **deductions** from the annual value of the property under **Section 24**:
 - **Standard Deduction**: 30% of the annual value is allowed as a **flat deduction** for maintenance and repairs.
 - **Interest on Home Loan**: Deduction of interest paid on home loans up to ₹2,00,000 for **self-occupied properties** under **Section 24(b)**.

Calculation of Income from House Property:

- **Income from House Property = Annual Value – Property Taxes Paid – Standard Deduction (30% of Annual Value) – Interest on Home Loan (if applicable).**

Example:

Let's assume an individual owns a property with the following details:

- **Annual Rent Received**: ₹2,00,000.
- **Municipal Taxes Paid**: ₹20,000.

- **Standard Deduction:** 30% of ₹2,00,000 = ₹60,000.
- **Interest on Home Loan:** ₹50,000.

Step-by-Step Calculation:

- **Annual Value:** ₹2,00,000 (Rent Received).
- **Deduct Municipal Taxes:** ₹2,00,000 – ₹20,000 = ₹1,80,000.
- **Deduct Standard Deduction (30%):** ₹1,80,000 – ₹54,000 (30% of ₹1,80,000) = ₹1,26,000.
- **Deduct Interest on Home Loan:** ₹1,26,000 – ₹50,000 = ₹76,000.

Thus, the **taxable income** from house property would be ₹76,000.

- Co-owners are taxed and the deductions apply individually based on their share of the property and income derived from it.

18. SECTION 72 A

Section 72A deals with the **carry forward and set off of losses** and **unabsorbed depreciation** in cases of **amalgamation** (merger) of companies. It allows a company to carry forward its **losses** and **unabsorbed depreciation** to the **transferee company** (the company that acquires the assets and liabilities of the transferor company).

Conditions for Applicability:

- **Amalgamation of the companies** must be **approved by the government**.
- The **business of the transferor company** must be continued by the transferee company after the amalgamation.
- The transferee company must hold at least **75% of the total voting power** in the transferor company immediately before the amalgamation.
- The **business carried on by the transferor company** must continue in the transferee company for a specified period (usually **5 years** after the amalgamation).
- All assets and liabilities must be transferred

The tax treatment for a demerger is provided under **Section 2(19AA)** and **Section 72A** of the **Income Tax Act, 1961**. The Income Tax Act provides certain **tax benefits** to the parties involved in a demerger, ensuring that they are not heavily taxed on the transfer of assets and liabilities during the process.

Conditions:

- **All Assets and Liabilities Transferred:**
 - The demerger must result in the **transfer of a part of the business**, assets, and liabilities of the demerged company to the resulting company.
- **Shareholders' Entitlement:**

- **Shareholders of the demerged company** must be issued **shares** in the resulting company. The shares should be distributed in **proportion to their existing holdings** in the demerged company.
- **Business Continuity:**
 - The **demerged company** must continue to exist after the demerger, and the resulting company must continue the same business operations transferred from the demerged company.
- **No Transfer of Shares:**
 - The transfer of assets in the demerger should not involve the sale or transfer of **shares**. The shareholders must receive shares in the resulting company in exchange for the business or asset they have transferred.
- **Accounting Treatment:**
 - The demerged company and the resulting company must account for the transfer of assets and liabilities in accordance with the provisions of the **Companies Act, 2013**.
- **Continuity of Business:**
 - The business carried on by the demerged company must be continued by the resulting company.

19. PRESUMPTIVE TAXATION

Section	Eligibility	Turnover/Gross Receipts Limit	Presumptive Income Rate	Books of Accounts/Audit Required?
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44AD	- Resident Individuals, HUFs, and Partnership Firms (except LLPs) - Engaged in eligible businesses	₹3 crore (if cash receipts ≤ 5%; otherwise ₹2 crore)	- 8% of turnover (cash transactions) - 6% of turnover (digital transactions)	No books or audit unless opting out or declaring lower income, and total income exceeds basic exemption limit.
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44ADA	Resident Professionals in specified professions under Section 44AA	₹50 lakh	50% of gross receipts	No books or audit unless overdeclaring lower income, and total income exceeds basic exemption limit.
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44AE	Assessees owning up to 10 goods vehicles	No specific turnover limit	- ₹1,000/ton of gross vehicle weight/month (HGV) - ₹7,500 per vehicle/month (other vehicles)	No books or audit required.
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44B	Non-residents in shipping business	No specific turnover limit	7.5% of gross receipts	No books or audit required.
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44B B	Non-residents providing services for exploration of mineral oils	No specific turnover limit	10% of gross receipts	No books or audit required.
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44BB A	Non-residents operating aircraft	No specific turnover limit	5% of gross receipts	No books or audit required.
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44BB B	Foreign companies engaged in power projects	No specific turnover limit	10% of gross receipts	No books or audit required.
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Key Notes:

1. **Opting Out Restrictions (Section 44AD):**
 - Once opted out, you cannot re-enter the scheme for the next 5 years.
2. **Advance Tax Payment:**
 - Taxpayers under presumptive taxation need to pay advance tax in one installment by **March 15**.
3. **Exclusions:**
 - Not available to Limited Liability Partnerships (LLPs), trusts, or non-residents under 44AD and 44ADA.
4. **Specified Professions for Section 44ADA:**
 - Legal, medical, engineering, architectural, accountancy, technical consultancy, interior decoration, or any other notified profession.

20. SECTION 32

What is Depreciation?

Depreciation refers to the reduction in the value of an asset over time due to wear and tear, usage, or obsolescence. Under **Section 32**, businesses can claim depreciation as a deduction from their taxable income, provided certain conditions are met.

Methods of Depreciation:

- **Straight Line Method (SLM):**
 - Depreciation is calculated at a fixed rate on the **original cost** of the asset.
 - The same amount is deducted each year until the asset's value is fully depreciated or disposed of.
 - Formula: $\text{Depreciation} = \text{Original Cost} \times \text{Depreciation Rate}$
 - Example: For a machine costing ₹1,00,000 with a depreciation rate of 10%, ₹10,000 will be deducted annually.

- **Written Down Value Method (WDV) / Reducing Balance Method:**

Rate is:

- **Residential 5%**
 - **Plant and Machinery 15%**
 - **Building 10%**
 - **Intangible Assets 25%**
 - Depreciation is calculated at a fixed rate on the **book value (remaining value)** of the asset after accounting for depreciation in previous years.
 - This results in decreasing depreciation amounts over time.
 - Formula: $\text{Depreciation} = \text{Book Value} \times \text{Depreciation Rate}$
 - Example: For the same machine with a 10% rate, the depreciation in the first year would be ₹10,000 (10% of ₹1,00,000). For the second year, it would be ₹9,000 (10% of ₹90,000).
-

Conditions for Claiming Depreciation:

1. **Ownership of Assets:**
 - The company (or assessee) must legally own the asset to claim depreciation.
 2. **Exclusions:**
 - Land cannot be depreciated as its value typically does not diminish over time.
 - Depreciation is allowed only on tangible assets such as **buildings, machinery, plant, and furniture**, and on certain **intangible assets** like patents or trademarks.
 3. **Asset Usage:**
 - The asset must be used for business or professional purposes to qualify for depreciation.
 4. **Date of Purchase:**
 - Depreciation is calculated from the **date the asset is bought and put to use** for the business.
-

Significance of Section 32:

1. **Tax Deduction:** Depreciation reduces the taxable income of businesses, effectively lowering their tax liability.

2. **Capital Cost Recovery:** It allows businesses to recover the cost of assets over their useful life.
3. **Asset Management:** Encourages businesses to invest in assets and replace obsolete ones.

21.

Section 37 (Expenses for Business):

- Allows deduction for expenses incurred **wholly and exclusively for business purposes**.
- Includes costs like rent, salaries, legal fees, etc., provided they are not personal or capital in nature.

Lease Concepts:

- **Lessee:**
 - The party renting the asset and paying rent.
 - Can claim rent payments as a deduction under the Income-tax Act.
- **Lessor:**
 - The party owning the asset and renting it out.
 - Can claim depreciation benefits on the asset under the Income-tax Act.

Depreciation Rate:

- Government-set depreciation rate for assets (like machinery) is **15%** under the **Written Down Value (WDV) method**.
- Often, depreciation on assets can be more financially beneficial than loan interest savings, as it reduces taxable income.

Leasing Types:

- **Front-end Leasing:**
 - Involves paying higher lease payments during the initial period of the lease term.
 - Advantageous for businesses with strong cash flows at the start but lower anticipated future revenues.
- **Back-end Leasing:**
 - Involves lower lease payments at the beginning of the lease term, increasing later.
 - Suitable for businesses expecting revenue growth over time.
- **Balloon Leasing:**
 - Involves variable lease payments, with a significant payment (the "balloon payment") at the end of the lease period.

- Typically used for acquiring assets like vehicles or machinery.

MAT (Minimum Alternate Tax):

- Governed by **Section 115JB** of the Income-tax Act.
- Applies to companies that, despite having book profits, pay little or no income tax due to exemptions, deductions, or incentives.
- MAT ensures a minimum tax liability on book profits.

Unabsorbed Depreciation:

- Depreciation not fully utilized to offset profits in a financial year.
- Carried forward to subsequent years and adjusted against taxable income in those years.

Business Loss Carry Forward:

- Losses incurred in a business can be carried forward for **8 years**.
- These can only be offset against **business profits** in subsequent years.

Depreciable Value of a Machine:

- Includes not just the purchase cost but also:
 - Customs duty
 - Freight charges
 - Installation expenses
 - Any costs to bring the asset to working condition.

22. Technology fee is Revenue expenditure not Capital Expenditure

Section 35AB of the **Income Tax Act, 1961** deals with **expenditure on acquiring rights to use scientific research or know-how**. This section allows for deductions of capital expenditure incurred by a taxpayer in acquiring rights to use scientific research or know-how.

Section 35AB (Acquiring Rights to Use Scientific Research or Know-How):

- **Amortization Period:**
 - The capital expenditure incurred on acquiring **scientific research or know-how** (such as the purchase of patents or technology rights) is amortized over a period of **6 years**.
 - The amount of amortization each year is **1/6th of the total capital expenditure**, and this deduction is allowed each year for the next 6 years.
- **Example:** If a company spends ₹6,00,000 to acquire a technology patent, the amortization deduction would be ₹1,00,000 per year for 6 years.

23. Double Tax Avoidance Agreement (DTAA):

DTAA is an agreement between two countries that ensures individuals and companies are not taxed twice on the same income. It provides relief from double taxation by either allowing tax credits, exemptions, or deductions for taxes paid in the other country.

Indo-Mauritius DTAA:

Under the **Indo-Mauritius DTAA**, Mauritius residents (including companies or individuals) enjoy **tax exemptions on certain types of income sourced from India**, particularly in the case of capital gains. This makes Mauritius a popular destination for **foreign direct investment (FDI)** into India, as investors can avoid Indian taxes on capital gains earned through the sale of shares or securities.

- **Example:** If a company from Mauritius invests in Indian companies (buying shares or equity), and later sells those shares for a profit, under the Indo-Mauritius DTAA, the **capital gains** may be taxable **only in Mauritius**, and not in India. This is because, under the DTAA, Mauritius enjoys a preferential treatment (i.e., no taxation on such capital gains).

However, India has made some amendments to the DTAA to prevent misuse, specifically in the case of **shares and securities transactions**. In some cases, capital gains may now be subject to **taxation in India**, depending on specific conditions.

Taxation Conditions for Individuals and Companies under DTAA:

For **individuals or companies** claiming benefits under a DTAA, the following conditions need to be met:

1. **Permanent Place of Abode:** The person must be a **resident of the country** that has signed the DTAA. This means they must have a **permanent place of abode** (e.g., a permanent residence or habitual residence) in that country.
2. **Tax Residency:** The individual or company must be considered a **tax resident** in the country with which the DTAA is signed. This typically means they should be subject to tax on their worldwide income in that country (not just income earned within the country).
3. **Centre of Vital Interests:** The **centre of vital interests** determines where a person or company has their **primary economic, social, or professional ties**. This is a concept used to determine the primary country of tax residence in cases where a person or entity may qualify as a tax resident in more than one country.

Tax Credit for Taxes Paid in Another Country:

When a person or company is subject to tax in **both India and another country**, they can generally claim **tax credit** for the taxes paid in the other country. This helps eliminate double taxation.

For example, if an individual in India pays tax on income earned from a country with which India has a DTAA, they can typically claim a **foreign tax credit** in India to offset the tax paid in the foreign country.

Permanent Establishment (PE) and Taxation:

According to **Article 4 of DTAA**, if a **company** has a **Permanent Establishment (PE)** in India, any income generated through that establishment is taxable in India.

- A **Permanent Establishment (PE)** refers to a fixed place of business, such as an office, branch, factory, or other establishment, through which the business is conducted.
- If a foreign company has a PE in India, the income generated through this PE is subject to tax in India.

Example:

- Suppose a **news company based in the UAE** earns income by advertising through an **Indian agent** (like Bennett Coleman & Co. Ltd.).
 - If the UAE company uses an independent agent in India (who is acting on behalf of the UAE company), and the income is earned **through that independent agent**, then the **UAE company is not liable to pay taxes in India** on that income. This is because the independent agent is not considered to create a **Permanent Establishment (PE)** in India for the UAE company.
 - However, if the UAE company had a **fixed place of business** or **branch office** in India, then the income generated through this PE would be taxable in India.

If the Indian office's role is strictly **limited to transmitting information** and **does not engage in business activities**, such as making decisions or generating revenue directly in India, it may **not be considered a PE**.

If the UAE-based company earns **commission from remittances** (money transfer) from the Gulf to India, but the commission is paid for services that are fundamentally carried out in the UAE (such as handling the transaction between the UAE and India), and the Indian office is simply acting as a **communication channel**, then this income is **not taxable in India**.

Capital Gains and Section 45:

Section 45 of the **Income Tax Act, 1961** deals with the taxation of **capital gains** when there is a **transfer** of a **capital asset** (such as property, stocks, or bonds).

- **Capital Gains Tax** applies when a person **transfers a capital asset** or **investment**, and the difference between the **sale price** and the **purchase price** (after considering any expenses or deductions) is treated as **capital gain** or **capital loss**.

When is Capital Gains Tax applicable?

- When a **capital asset** is **transferred** (sold, exchanged, or gifted) in a particular year, **capital gains tax** is calculated based on the **difference** between the **sale price** and the **original cost**.
- The tax applies in the year in which the **transfer** occurs, and in the case of **immovable property** (like land or buildings), the date of registration of the transfer document is considered the **date of transfer**.

Example: If you sell a property, and the registration of the sale happens in the year 2024, then **capital gains tax** will be applicable for the **financial year 2024-25**.

Capital Losses and Carry Forward:

- **Capital Loss:** If the **capital gains** from the sale of an asset result in a **loss** (i.e., the sale price is less than the purchase price), that loss is classified as a **capital loss**.
- **Carry Forward of Capital Losses:**
 - If you incur a capital loss, you can **carry forward** the loss to future years, and set it off against future **capital gains**.
 - **Carry forward period:** Capital losses can be **carried forward for up to 8 years** (not 2 years as mentioned) and offset against future **capital gains**. This allows you to reduce your tax liability in future years.
- **Example:**
 - If you incur a capital loss of ₹50,000 in 2024, you can carry forward this loss and set it off against any capital gains you make in the next 8 years, reducing your taxable income in those years.

What is included in Capital Gains?

Capital gains generally include the sale of assets like:

- **Immovable property** (land, buildings)
- **Shares and securities**
- **Mutual funds**
- **Bonds** (and similar assets)

However, there are certain **exemptions** or exceptions in the definition of capital assets.

- **Stocks, raw materials, and consumables:** These are **not considered capital assets** for tax purposes, as they are treated as **business income** rather than **capital gains**. For example, if a company deals with raw materials or consumables, any income generated from selling them would be taxed as **business income**, not **capital gains**.

Tax Rates on Capital Gains:

The tax rates on **capital gains** depend on the **type of asset** (whether it's short-term or long-term) and the **holding period** (how long the asset was held before it was sold). For example:

- **Short-Term Capital Gains (STCG):** For assets held for less than 36 months (or less than 24 months for immovable property), the gains are considered short-term and taxed at a **higher rate**.
 - Example: **Equity shares** held for less than 12 months are taxed at **15%**.
- **Long-Term Capital Gains (LTCG):** For assets held for more than 36 months (or more than 24 months for immovable property), the gains are considered long-term and taxed at a **lower rate**.
 - Example: **Equity shares** held for more than 1 year are taxed at **10%** above ₹1 lakh.

Exemption on Agricultural Land:

Under Section 10(37), **agricultural land** may be **exempt from capital gains tax**, provided it satisfies certain conditions.

- **Exemption for agricultural land:**
 - If the agricultural land is located **more than 8 kilometers away from a city, municipality, or town**, the land is **exempt** from capital gains tax.
 - If the agricultural land is located **within 8 kilometers of a city or town** and is **notified by the government** for urban development, it is subject to **capital gains tax**.
- **Example:**

- **Agricultural land more than 8 km from the city:** If the land is located far away from urban areas, it is not taxed under capital gains.
- **Agricultural land within 8 km from the city:** If the land is near a town or is in an urban development zone, capital gains tax **applies**.

Investment Company and Portfolio Types:

- Investment companies often have **two types of portfolios**:
 - **Investment portfolio:** This consists of assets held for **long-term** appreciation, and any **capital gains** from the sale of these assets are taxed as **capital gains**.
 - **Trading portfolio:** This consists of assets held for **short-term** trading or business activities, and **profits from trading** are considered **business income**, not capital gains.
 - If a company's primary activity is to **trade** in shares and securities, the gains from this trading activity are taxed as **business income** and not **capital gains**.
 - However, if the company's main activity is **long-term investment**, any gains from the sale of those investments are subject to **capital gains tax**.

Section 2(14) defines a **capital asset** as any property, movable or immovable, except for stock-in-trade, raw materials, and consumables.

Section 42A deals with the **conversion of stock-in-trade into capital assets**. The fair market value at the time of conversion is treated as the **cost of acquisition** for future capital gains purposes.

Section 47 lists specific **exemptions from capital gains tax**, including:

- Transfers between partners and firms.
- Gifts and inheritance.
- Certain corporate reorganizations.
- Transfers of agricultural land (under certain conditions).

26. Section 2(47) - Definition of Transfer:

In the Income Tax Act, the term "transfer" is important because it triggers the taxation of **capital gains** when an asset is transferred.

Here's what **Section 2(47)** outlines:

Definition of Transfer:

Under Section 2(47), **transfer** includes the following scenarios:

1. **Sale, exchange, or relinquishment of the asset:**

- If you **sell** an asset (like a property, shares, or any other capital asset), that constitutes a transfer.
- If you **exchange** an asset (e.g., swapping one property for another), that's also a transfer.
- If you **relinquish** your rights to the asset (like renouncing your claim to an asset or letting it go without any financial return), that is considered a transfer.

2. **Parting with possession of the asset:**

- If you **give up possession** of the asset to someone else, even if the formal ownership hasn't changed (like a leasehold or rent agreement), it may still be considered a transfer.

3. **Dissolution of a partnership:**

- When assets are **distributed** among the partners during the **dissolution of a partnership firm**, those distributions may be treated as a transfer under capital gains tax provisions.

4. **Termination of rights** in a capital asset:

- If you **terminate any rights** in relation to an asset (for example, giving up ownership or canceling a claim), it can also be treated as a transfer.

5. **Gift or inheritance:**

- Even when a **gift** or **inheritance** is given, it's considered a transfer. However, in the case of a **gift**, the **cost of acquisition** will be deemed to be the **cost to the previous owner** (i.e., the person who gave the gift).

Summary of Key Points from Section 2(47):

- **Transfer** is a broad term that includes various forms of transactions involving capital assets.
- The **sale, exchange, relinquishment**, or even **parting with possession** of an asset is considered a transfer.
- It also includes cases like **dissolution of partnership, gifts, and inheritance**, provided they involve capital assets.

Why is this important?:

When any of the above transactions happen, **capital gains tax** may apply to the **profit** or **gain** made from the transfer of the capital asset. For example, when you sell a property or exchange shares, the **capital gains** from that transaction are taxable.

26. Section 2(14): Capital Asset

A **capital asset** includes **property of any kind** (whether movable or immovable), **tangible or intangible**, but **does not include** the following:

1. **Stock-in-trade** (i.e., inventory or goods held for business purposes).
2. **Personal effects** (such as clothing or personal items like furniture) except for:
 - Jewellery
 - Paintings
 - Sculptures
 - Any other works of art
3. **Agricultural Land** in rural India.
 - **Agricultural land** is **not** considered a capital asset if it is situated in a **rural area**. (A rural area is defined as an area outside the jurisdiction of a municipality or cantonment board with a population of fewer than 10,000 people, and not within 8 kilometers of the local limits of a municipality).
4. **Indian Rupees** (the currency itself is not a capital asset).
5. **Gold Bonds** issued under the Gold Bonds Act, 1965 (now repealed).
6. **Other assets as defined** under other sections of the Act.

27. Taxation of Different Entities under the Income Tax Act, 1961

The **Income Tax Act** outlines different tax treatment for individuals, Hindu Undivided Families (HUFs), partnership firms, companies, and other entities, with each having specific rules based on their structure. Here's a detailed breakdown of the points you mentioned:

1. Individual - Normal Tax Rates:

An **individual** is taxed based on their income, which is subject to **progressive tax rates**. The tax rates depend on the income slab. Here's a general outline for the **assessment year 2024-25**:

Income Tax Slabs for Individuals (below 60 years of age):

- Income up to ₹2.5 lakh: **No tax**
- Income from ₹2.5 lakh to ₹5 lakh: **5%**
- Income from ₹5 lakh to ₹10 lakh: **20%**
- Income above ₹10 lakh: **30%**

2. Hindu Undivided Family (HUF):

A **Hindu Undivided Family (HUF)** is a separate tax entity under the Income Tax Act. While the tax treatment is similar to that of an individual, an **HUF** is treated as a **separate legal entity** for the purposes of taxation.

- **HUF** has its own **PAN** and files its own tax return.
- The **HUF** enjoys the same tax slabs as an individual.
- The income of an HUF, whether earned by the family members or through investments, is taxable under the HUF's PAN.
- In cases where the family members receive shares of the income (e.g., from investments), they are not taxed individually. Instead, the HUF pays the tax on its income.

Example: If an HUF earns ₹8 lakh in income, the tax would be computed as per the individual tax slabs, with benefits of deductions and exemptions, just like an individual taxpayer.

3. Partnership Firm:

A **partnership firm** is treated as a **separate tax entity** and is taxed at a flat rate of **30%** on its total income. The **share of profit** that the partners receive from the firm is **not taxable** in their hands.

- **Flat Tax Rate:** The partnership firm pays a flat **30% tax on its total income**, which is calculated after accounting for allowable expenses, deductions, etc.
- **Profit Share:** The profit distributed to the partners is **not taxed separately**. The **partners** are not taxed on the **share of the firm's profit** they receive.

Example: If a partnership firm has a taxable income of ₹10 lakh, it would pay **30% tax** on ₹10 lakh, i.e., ₹3 lakh. The partners' share of profit (e.g., ₹1 lakh) will **not** be taxed in their individual hands.

4. Company:

The tax treatment for **companies** depends on whether the company is a **domestic company** or a **foreign company**.

Domestic Company:

- A **domestic company** is typically taxed at **25%** if the total turnover or gross receipts do not exceed ₹400 crore in the previous financial year.
- If the turnover exceeds ₹400 crore, the domestic company is taxed at a **30%** rate.

Foreign Company:

- A **foreign company** (a company which is not incorporated in India) is taxed at a **flat rate of 40%** on its income earned in India.

Example:

- A **domestic company** earning ₹20 crore in India may be taxed at 30%, whereas a **foreign company** earning ₹20 crore in India will be taxed at 40%.
-

5. Association of Persons (AOP):

An **Association of Persons (AOP)** is a group of people who come together with a common objective to earn income. For tax purposes, an AOP is treated as a **separate taxable entity**.

- The members of an AOP are taxed on the **income of the AOP** after the tax on the AOP's income is paid.
- AOP is taxed at the **individual tax slab rates** (if it is not registered as a company or other taxable entity), but it is still treated as a distinct entity for tax purposes.

Example: If an AOP, formed by a group of individuals, earns ₹10 lakh, the AOP pays tax on this income. The income is taxed at the **normal tax rates** applicable to individuals.

6. Artificial Juridical Entity (Religious/Charitable Institutions):

An **Artificial Juridical Entity** refers to an **entity** created by law that does not have physical existence but is treated as a **legal person**. This includes **religious or charitable institutions**, such as **temples, trusts, or deities**.

Taxation of Religious or Charitable Institutions:

- Income earned by religious institutions, like **Tirupati, Shirdi, or Siddhivinayak**, is considered **taxable** if it is derived from investments or business activities.
- **Income earned from offerings, donations, or charitable activities** may be **exempt** under **Section 11** of the Income Tax Act, but **income from investments** (e.g., rent, dividends, etc.) may be **taxable as business income** if not used for charitable purposes.

Example: If a **temple** has a trust fund or investments generating rental income, this income would be **taxable as business income**, even though the temple is a religious institution. However, if the income is used for religious activities, it may be **exempt** from tax.

Entity Type	Tax Rate	Other Notes
Individual	Progressive tax slabs (5% to 30%)	Based on income levels, with exemptions and deductions
Hindu Undivided Family (HUF)	Same as individual tax slabs	HUF is a separate tax entity, and profits are taxed under HUF
Partnership Firm	30% (flat rate)	Share of profit to partners is not taxable in their hands
Domestic Company	25% or 30% (depending on turnover)	Tax rate varies based on turnover
Foreign Company	40% (flat rate)	Tax on income earned in India
Association of Persons (AOP)	Same as individual tax slabs	Treated as a separate entity, taxed on its income
Religious Institutions (e.g., Temples)	Taxable if income is from investments or business activities	Income used for charitable purposes may be exempt